

ALLIANCE GIRLS 2025 PREDICTION



POSSIBLE KCSE EXAM

565/1

BUSINESS STUDIES

PAPER 1

TIME: 2 HOURS

NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

Kenya Certificate of Secondary Education.

INSTRUCTIONS

- Write your **NAME**, **SCHOOL** and **INDEX NUMBER** in the spaces provided.
- Answer **ALL** questions provided in the spaces provided.
- This paper consists of **10 printed pages** and **25 questions**.

FOR EXAMINERS USE ONLY

Question	1	2	3	4	5	6	7	8	9	10	11	12	14	15	16
MARKS															

17	18	19	20	21	22	23	24	25	TOTAL

Answer **ALL** questions provided in the spaces provided

1. Outline **three** reasons why cash payment would be preferred to cheque payment. **(3 marks)**

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2. State **four** reasons why a farmer would prefer to transport a herd of cattle by rail rather than by road.

(4 marks)

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3. State **four** advantages of using internet as a means of communication. **(4 marks)**

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4. State **four** measures which the Kenyan government can take to solve the unemployment problem.

(4 marks)

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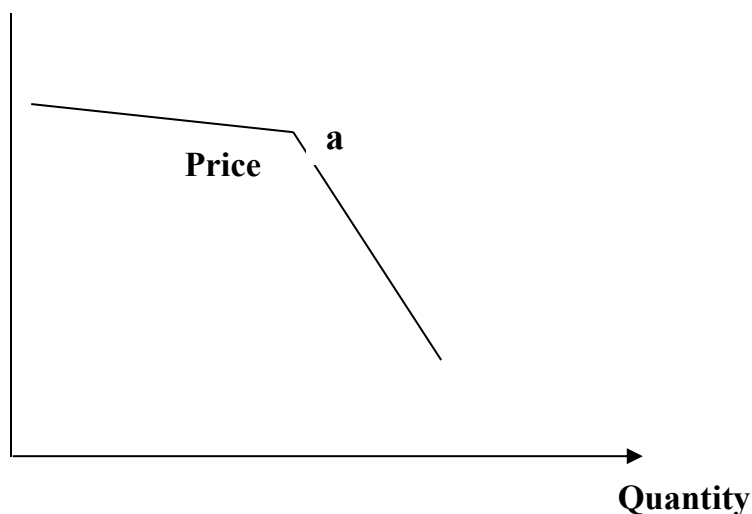
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5. Highlight **four** roles played by an entrepreneur in the production process. (4 marks)

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6. The diagram below shows a demand curve for a firm operating in a given type of market structure. (4 marks)



- a) State the name which is given to such a demand curve. (1 marks)

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- b) Indicate on the diagram the possible price and quantity. (2 marks)

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- c) State the significant of the point labelled a. (1 mark)

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7. State **four** advantages of using intermediaries in the distribution of goods. (4 marks)

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8. Give **four** reasons facing cooperative societies.

(4 marks)

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9. State **four** advantages of franking machine.

(4 marks)

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10. The following information was extracted from the books of Venus traders.

Rate of turnover.	3 times
Mark-up.	20%
Opening stock.	Sh 160,000
Closing stock.	Sh 200,000

Required

i) Gross profit.

(2 marks)

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ii) Sales.

(2 marks)

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11. Outline **four** factors that may hinder occupational mobility of labour. (4 marks)

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12. The following relate to Furaha Traders for the year 2020

- i) Closing capital (31.12.2020) sh 300,000
- ii) The owner converted his personal computer valued at sh 35,000 into business use.
- iii) The owner had withdrawn goods worth sh 40,000 for personal use.
- iv) Incurred losses amounting to sh 65,000

Determine Furaha Traders initial capital on(1.01.2006). (4 marks)

13. For each of the following books of original entry, indicate the source document: **(4 mks)**

Journal	Source document
Purchase journal	
Sales day book	
Petty cash book	
General journal	

14. Highlight **four** measures that a government may take to reduce the mortality rate in a country.

(4 marks)

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15. The following balances were extracted from the books of Mavuno Traders for the year ended 31st march 2021.

Gross profit.	186,200
Discount allowed.	7,400
Carriage outwards.	13,500
Rent received.	34,300
Office expenses.	19,600

Salaries.

57,000

Prepare a profit and loss for the ended 31st march 2021.

(5 marks)

16. State four factors that determine the amount of money held for transaction motive. **(4 marks)**

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17. State **four** objectives of product promotion.

(4 marks)

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18. Highlight four difficulties faced in satisfaction of human wants. (4 marks)

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19. Highlight four factors under economic environment that positively affects the business. (4 marks)

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20. Outline any four measures that a firm should take to improve the performance of its labour force.

(4 marks)

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21. List four reasons why distributors of goods would prefer to locate warehouse near it customers.

(4 marks)

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22. Highlight **four** benefits of globalisation to business enterprise. (4 marks)

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23. Kazi moto insured a motor vehicle against fire with MotoMoto company by paying Kshs.300.000. later the car was destroyed at a garage and a compensation of Kshs. 4,000 were paid. Using insurance terms, state what each of the following stand for; (4 marks)

a) Kazi Moto

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b) Fire

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c) Kshs 300,000

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d) Moto Moto Company

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24. State **four** responsibilities of a business to its customers. (4 marks)

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25. Show the effect of each of the following transaction to capital, assets and liabilities

indicating if its increasing(+), decreasing(-) or nil (0).

(4 marks)

Transaction	Capital	Asset	Liability
a) Converted private house into business premises			
b) Paid creditors in cash			
c) Sold a business car valued at sh 400,000 for sh 300,000 on credit			
d) Sold goods on credit			